ANSWER KEY & MARKING SCHEME SET 1

Chapter 7: **Factors of Production** | Class 8 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(c)** gap in skills	Skill mismatch
2	**(a)** capital	Finance
3	**(d)** interest	Return on funds
4	**(d)** capital substituting labour	Technology use
5	**(a)** it contains toxic metals such as lead and mercury	Toxic metals
6	**(d)** Factors of production are combined in different proportions	Proportions vary
7	**(b)** use more machines	Substitution
8	**(c)** demographic burden instead of dividend	Skills vital
9	**(a)** Both A and R are true and R is the correct explanation of A.	Wages pay for the effort described in R.
10	**(b)** Both A and R are true but R is not the correct explanation of A.	Both are true but R does not explain A.

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Human capital (1); Skills raise productivity (1).	1+1
12	Lack of capital (1); Weak management or market (1).	1+1
13	Higher productivity (1); Scarcity of skills (1).	1+1
14	Need honest implementation (1); Environment and workers' care also needed (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Capital (1); Loans and savings (1); Cooperatives (1).	1+1+1
16	Demand differs (1); Location (1); Use potential (1).	1+1+1
17	High rates reduce borrowing (1); Low rates encourage investment (1); Affects expansion (1).	1+1+1
	OR: Cost savings (1); Job loss (1); Need to retrain (1).	1+1+1
18	Entrepreneur takes risk (1); Manager runs the work (1); Same person in small firms (1).	1+1+1
	OR: Land: shop spot (1); Labour and capital: helper and stove (1); Entrepreneur: owner (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	(i) Entrepreneurship (1). (ii) Profit (1). (iii) 1932 (1). (iv) The entrepreneur bears the risk and is paid only what remains after all other factors are paid; if revenue is less than costs, there is a loss (2).	1+1+1+2
20	R&D (1); Factory (1); Materials (1); Workers (1); Supply chain (1).	1+1+1+1+1
	OR: Education (1); Healthcare (1); Culture (1); Productivity (1); Growth (1).	1+1+1+1+1

Mistakes to avoid:

- Mismatching rewards: rent - land, wages - labour, interest - capital, profit - entrepreneur.
- Confusing interest with profit; interest is a fixed payment for capital while profit is what remains and can be a loss.
- Thinking that capital means only money; it also means durable assets such as machines and buildings used in production.
- Mixing human capital (skills and knowledge of workers) with physical capital (machines, tools).
- Writing that land means only farmland; it includes soil, forests, water, minerals and sunlight.
- Mixing labour-intensive (handicrafts) with capital-intensive (satellite manufacturing) activities, and quoting CSR as 5 per cent instead of 2 per cent.

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

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ANSWER KEY & MARKING SCHEME SET 2

Chapter 7: **Factors of Production** | Class 8 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(a)** increases output until limits	Basic idea
2	**(b)** it spreads knowledge across distance	Technology as enabler
3	**(a)** human capital	Quality of labour
4	**(b)** labour	Substitution
5	**(c)** Skill training and start-up support	Human capital and enterprise
6	**(c)** human capital	Productivity
7	**(b)** human capital	Skill growth
8	**(b)** interest and costs	Obligation
9	**(c)** A is true but R is false.	A is true. R is false: capital includes durable assets such as machines and buildings.
10	**(d)** A is false but R is true.	A is false: human capital is the skills, knowledge and expertise of people. R is true.

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Profit may be negative (1); Depends on demand and costs (1).	1+1
12	Money cannot reverse harm (1); Prevention needed (1).	1+1
13	May reduce jobs (1); Needs balance and training (1).	1+1
14	Lead and mercury (1); Contaminates soil and water (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Profit sustains firm (1); Duty to workers and nature (1); CSR role (1).	1+1+1
16	Lack of jobs (1); Poor education (1); Poor health (1).	1+1+1
17	Skills (1); Risk (1); Demand (1).	1+1+1
	OR: Small regular changes (1); Feedback (1); Better quality (1).	1+1+1
18	Treat waste (1); Strict monitoring (1); Pay compensation (1).	1+1+1
	OR: Schools (1); Health care (1); Scholarships (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	(i) Continuous improvement (1). (ii) Human capital (1). (iii) Wages (1). (iv) Trained workers work faster with fewer errors and can use better technology, so more is produced from the same inputs (2).	1+1+1+2
20	Facts (1); Opportunity (1); Challenges (1); Policies (1); Conclusion (1).	1+1+1+1+1
	OR: Labour-intensive (1); Capital-intensive (1); Costs (1); Jobs (1); Best choice (1).	1+1+1+1+1

Mistakes to avoid:

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- Thinking that capital means only money; it also means durable assets such as machines and buildings used in production.
- Mixing human capital (skills and knowledge of workers) with physical capital (machines, tools).
- Writing that land means only farmland; it includes soil, forests, water, minerals and sunlight.
- Mixing labour-intensive (handicrafts) with capital-intensive (satellite manufacturing) activities, and quoting CSR as 5 per cent instead of 2 per cent.

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

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ANSWER KEY & MARKING SCHEME SET 3

Chapter 7: **Factors of Production** | Class 8 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(d)** Reusing materials and cutting waste	Responsible
2	**(c)** CSR	Law-mandated
3	**(b)** worker rights	Responsibility
4	**(c)** Technology	Application of science
5	**(d)** supply chain dependence	Interconnectedness
6	**(c)** Entrepreneurship	Profit or loss
7	**(a)** loss of public trust	Reputation
8	**(a)** combines vision, risk and responsibility	Role
9	**(a)** Both A and R are true and R is the correct explanation of A.	R is the meaning of labour-intensive.
10	**(b)** Both A and R are true but R is not the correct explanation of A.	Both are true but unrelated.

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Fair wages (1); Safe workplace (1).	1+1
12	Linked stages (1); Failure at one stage affects all (1).	1+1
13	Online platforms (1); Digital payments (1).	1+1
14	Humans have dignity (1); Wellbeing matters (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Global supply chains (1); Dependence on parts (1); Transport links (1).	1+1+1
16	New industries (1); Loss in old (1); Depends on skills (1).	1+1+1
17	Better image (1); Loyal customers (1); Healthy community (1).	1+1+1
	OR: Free courses (1); Reach remote areas (1); Matching jobs (1).	1+1+1
18	Technology and capital (1); Land and labour (1); Higher yield (1).	1+1+1
	OR: More workers (1); Better skills (1); Higher household income (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	(i) About 65 per cent (1). (ii) Online courses (1). (iii) A network of people, organisations and activities that delivers a product from producers to consumers (1). (iv) Unskilled or unemployed youth cannot add to production; with skills and jobs they raise output and incomes (2).	1+1+1+2
20	Idea (1); Land (1); Labour and capital (1); Risk (1); Social responsibility (1).	1+1+1+1+1
	OR: Rent (1); Wages (1); Interest (1); Profit (1); Policies (1).	1+1+1+1+1

Mistakes to avoid:

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- Thinking that capital means only money; it also means durable assets such as machines and buildings used in production.
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